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Market Briefs **Pro**

Read less news

Good morning, Pro Briefers!

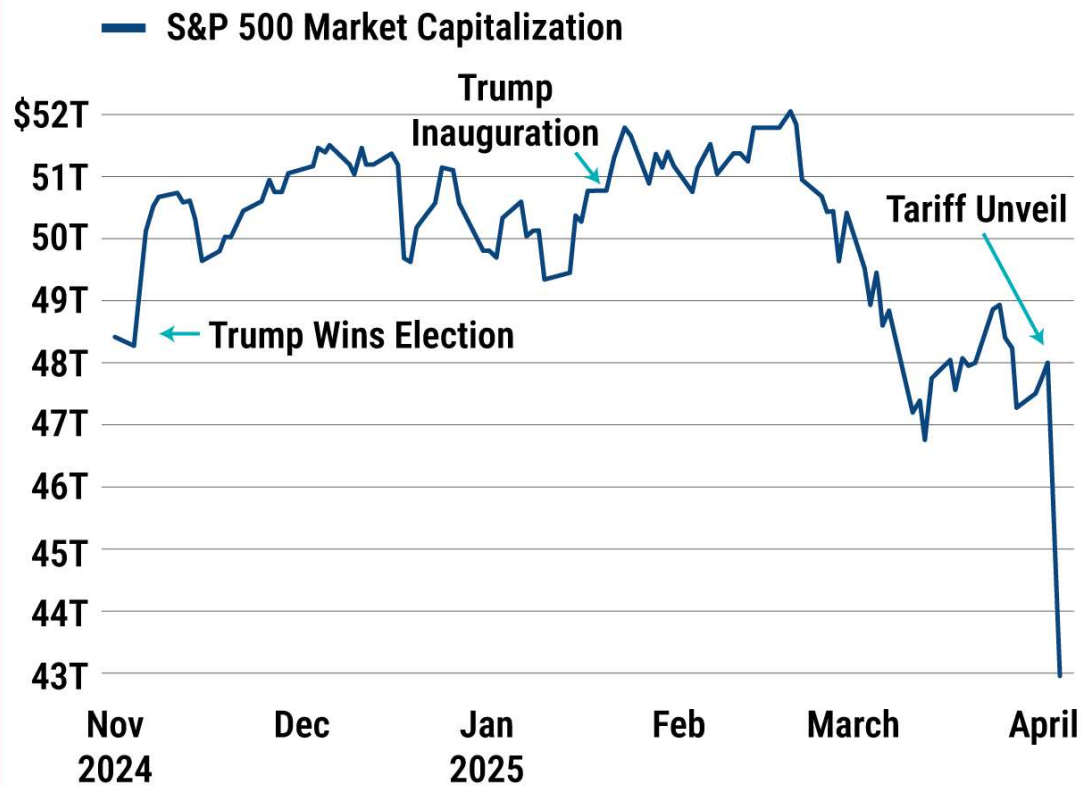
In April 2025, the S&P 500 and Nasdaq both fell at least 20% from their record highs, entering bear markets.

- **Reminder:** A “bear market” is the Wall Street term for when stocks fall by more than 20%.

This drop is part of an ongoing Government Shift, so we decided to create a special report for you this week:

U.S. tariffs have caused markets around the world to fall - but this is creating opportunities for strong companies, dividend-paying stocks, and essential brands.

U.S. Stocks Lose \$5 Trillion In Value From Tariffs



Market Briefs Pro

Data via Reuters

But first: What's going on?

Investors are worried that U.S. tariffs may hurt business profits.

- Tariffs increase import costs - it's like a fee just for crossing the border.

Recap. On April 2nd, 2025, President Trump said the U.S. would start charging new tariffs on goods coming in from other countries.

That made it more costly for 83 countries to trade with the U.S., including our major partners like China, Mexico, and Canada.

On April 9th, 2025, the majority of tariffs were paused for 90 days, with the exception of China, which is now being tariffed at 145%.

- The tariff rate for all goods imported from other countries is now 10%.

Reciprocal Tariffs

Country

Tariffs Charged
To The U.S.

U.S. Discounted
Reciprocal Tariffs

China

67%

34%

European Union

39%

20%

Vietnam

90%

46%

Taiwan

64%

32%

Japan

46%

24%

India

52%

26%

South Korea

50%

25%

Thailand

72%

36%

Switzerland

61%

31%

Indonesia

64%

32%

Malaysia

47%

24%

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Data [via](#) The Economic Times

Some experts believe these tariffs could create more jobs in the U.S., as businesses are incentivized to invest here, rather than import goods.

During his first term, Trump imposed tariffs as well - we sat down for an exclusive interview with a Customs Compliance Analyst at an international trade company to learn more.

"The difference between [tariffs in 2018 vs 2025] is the way he's coming about them. Before there was thought put into what was put into the sanctions, the 301s. It seemed like someone sat down and looked and did a references. Now it's just retaliatory, he's just looking at it as a way to get even with people."

The bottom line: Tariffs impact businesses, our economy, and company profits. And this shifts the flow of money, which can create an investment opportunity.

We're not here to speculate on what could happen next, there's a lot of uncertainty.

And we're not here to discuss if tariffs are a good thing or bad thing.

We're going to talk about how investors can find opportunities through this shift.

We want your feedback: Tell us what you think about this edition of Market Briefs Pro [by clicking here](#).

MOATS

Companies Built To Survive

Automakers and electronics companies were the first to see their share prices drop as higher tariffs were announced.

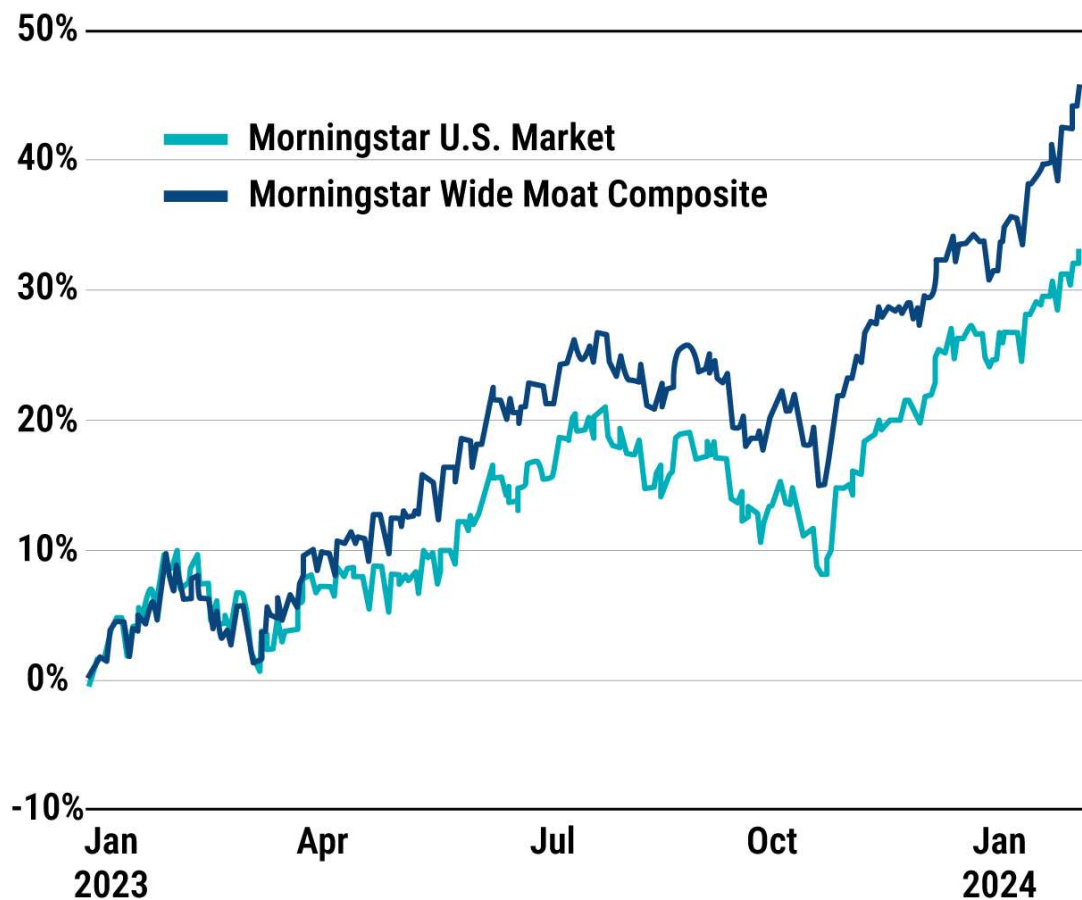
Why? According to our expert source, it has to do with making things overseas:

"Anybody manufacturing anything [may be impacted the most]. There is literally nothing made in the U.S. anymore - nothing."

As a result, businesses like GM (GM), Apple (AAPL), and Walmart (WMT), along with several other companies, could be the most exposed to tariff costs increasing.

However, some companies operate with a wide moat - meaning they're still exposed to tariffs, but rising costs impact them less.

Wide Moat VS. U.S. Stock Market Performance



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Data [via](#) Morningstar

Moat 101: A moat helps a business keep its spot in the market, making it harder for others to compete.

The wider the Moat, the harder it is for a competitor to compete.

- For example, consumers will pay a premium for Coca-Cola (KO) over RC Cola.

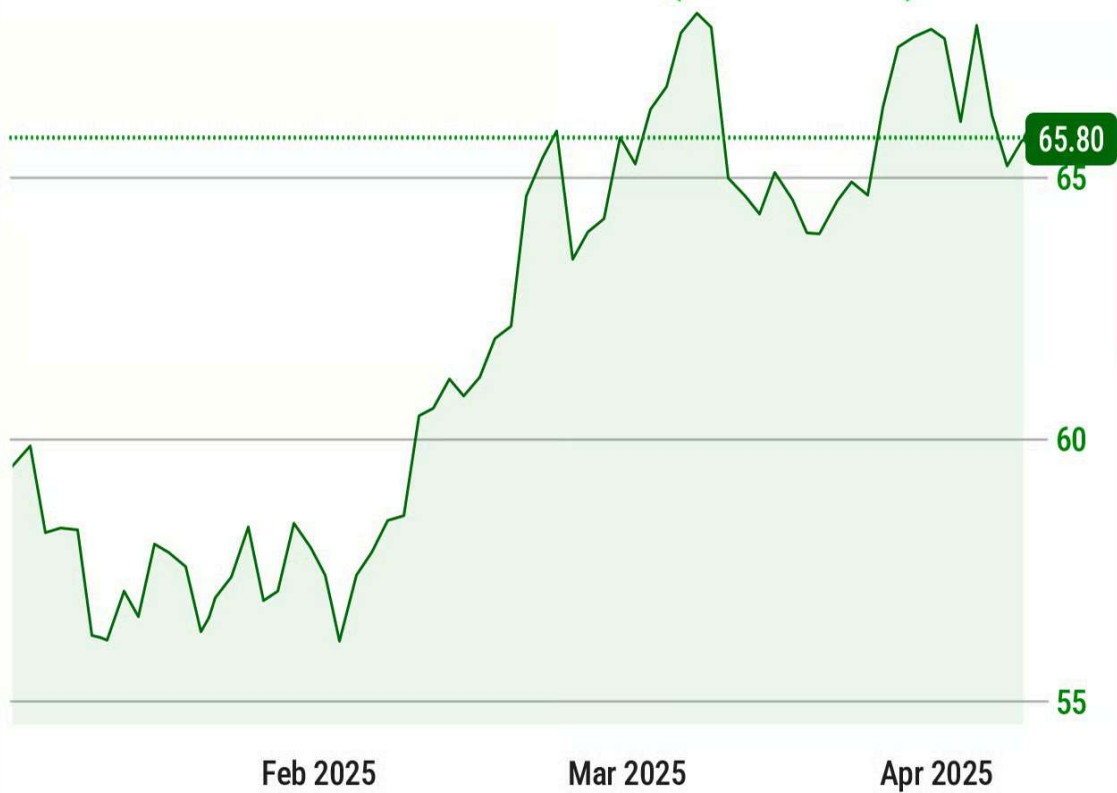
Mondelez International (MDLZ) has a wide moat in the food industry and may benefit despite tariffs rising.

The company owns brands like Oreo, Ritz, Stride, Chips Ahoy!, and more.

Mondelez International, Inc. (MDLZ)

YTD Year Price →

65.80
(+10.20%)



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Data [via](#) Yahoo! Finance

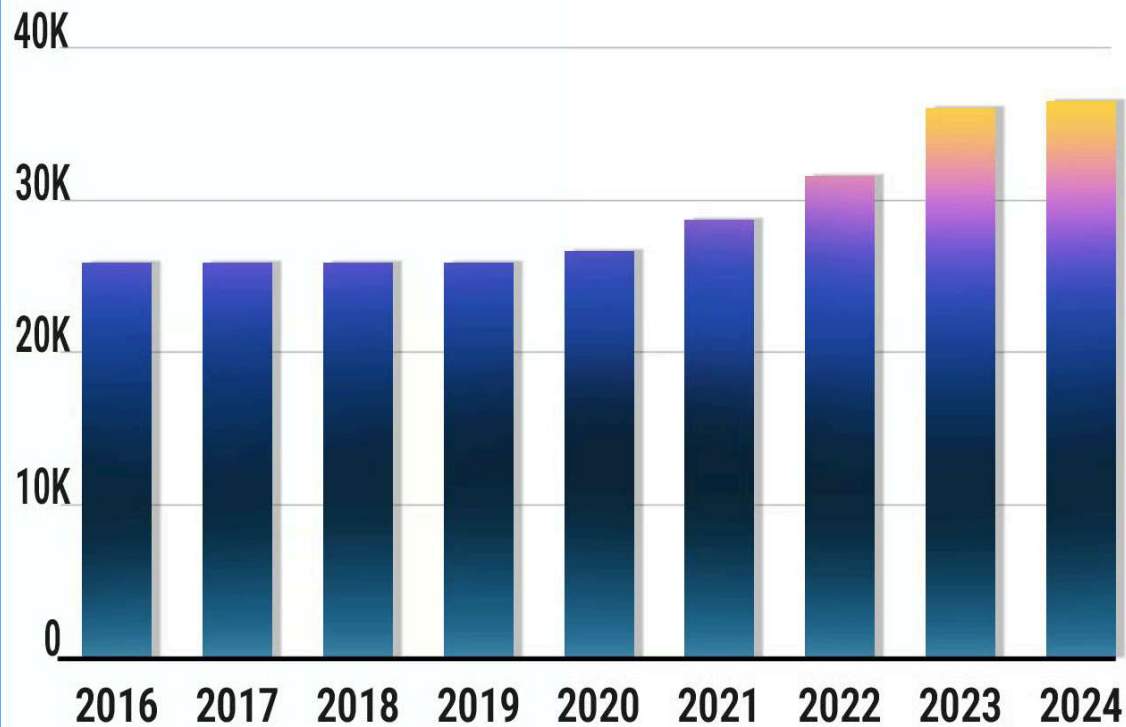
As of 2023, Mondelez controlled 40% of the global cookie market, more than any other company.

- It earns around \$4 billion from its cookie sales annually.

It also operates in over 150 countries and has 75+ manufacturing plants globally, plus, Mondelez owns 14% of the global chocolate market under brands like Cadbury.

Mondelez International, Inc. (MDLZ)

(Revenues In \$Millions)



 Market Briefs Pro

Data via company reports

But its moat is deeper than just sales - Mondelez sells 85% of its products in the same market that they are produced.

- Less global shipping = fewer tariffs.

In 2024, Mondelez brought in \$36 billion revenue, an all-time high - 37% of its revenue came from developing markets like Vietnam and Brazil.

The point? You can't walk into a grocery store without seeing something made by Mondelez and their smart way of making products gives them a big edge over rivals.

Switching gears, tech giant Palantir also may continue to grow, despite tariffs, due to its wide moat.

Palantir Technologies Inc. (PLTR)

YTD Year Price →

82.43
(+9.02%)



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Data [via](#) Yahoo! Finance

Over half of Palantir's revenue comes from U.S. and U.K. government contracts, many of which last from five to seven years.

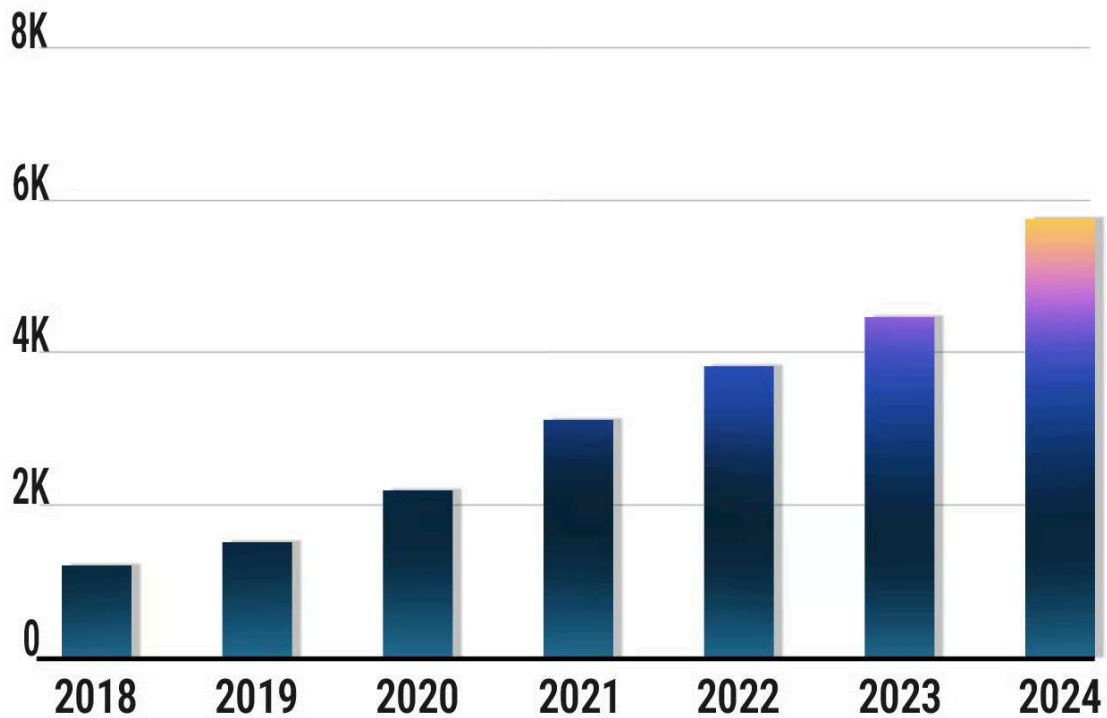
- The value of these contracts is estimated to be worth over \$1 billion.

Why does this matter? Palantir has become a major part of how these governments operate, which may make them difficult to replace in the future.

In addition, Palantir is one of the largest data collection and analysis companies in the world by market cap and has over 973 corporate customers.

Palantir Technologies Inc. (PLTR)

(Revenues In \$Millions)



 Market Briefs Pro

Data [via](#) company reports

- 641 are located in the U.S., which means less global trade and fewer tariffs.

Its 2024 revenue also reached \$2.8 billion, the most it has ever generated.

Palantir specializes in software as well, so tariffs impact its business less.

Investors may find opportunities in these wide moat companies, as well as ETFs that contain several wide moat stocks like the VanEck Morningstar Wide Moat ETF (MOAT).

VanEck Morningstar Wide Moat ETF (MOAT)

5 Year Price →

79.76
(+71.79%)



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Data [via](#) Yahoo! Finance

DIVIDENDS

Stocks That Pay

High tariffs can mess up global supply chains and cut into profits - especially for companies that rely on imports.

Back in 2018, when President Trump put a 25% tariff on China, utility and consumer-focused stocks beat tech and industrial stocks by 5%.

Why? Utilities, finance, and real estate companies don't rely as much on imports, which makes their business more cyclical, and less exposed to tariffs.

- These types of companies see demand increase during times of high tariffs, as demand shifts to domestic businesses.

In short - these companies tend to have more stable income, which allows them to return some of those profits to investors in the form of a dividend.

Dividends? Companies can pay shareholders a dividend with leftover profits every quarter based on how many shares they own.

Dividend-paying stocks can help investors handle losses from tariffs, since some companies keep paying steady dividends even when prices drop.

- The Vanguard High Dividend Yield ETF (VYM) grew by 9.6% from July 2018-July 2019, while the S&P 500 only grew by 6.2% during that same time.

Some companies, called Dividend Kings, have kept raising their dividends for 50 years, even through wars, recessions, market crashes, and pandemics.

Dividend Kings In 2024

These Companies Have Raised Dividends Every Year For More Than 50 Years.



Div. Yield	Ticker	Consecutive Years Of Dividend Increases
8.2%	1 MO – Altria Group	54
6.5%	2 UVV – Universal	53
4.8%	3 NWN – Northwest Natural Holding	68
4.3%	4 BKH – Black Hills	54
3.9%	5 UBSI – United Bankshares	50
3.9%	6 FRT – Federal Realty Investment	57
3.6%	7 HRL – Hormel Foods	58
3.4%	8 NFG – National Fuel Gas	54
3.4%	9 KMB – Kimberly-Clark	52
3.2%	10 ED – Consolidated Edison	50
3.1%	11 PEP – PepsiCo	52
3.1%	12 SWK – Stanley Black & Decker	57
3.0%	13 JNJ – Johnson & Johnson	62
2.9%	14 GPC – Genuine Parts	68
2.8%	15 TGT – Target	57

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Data via Visual Capitalist

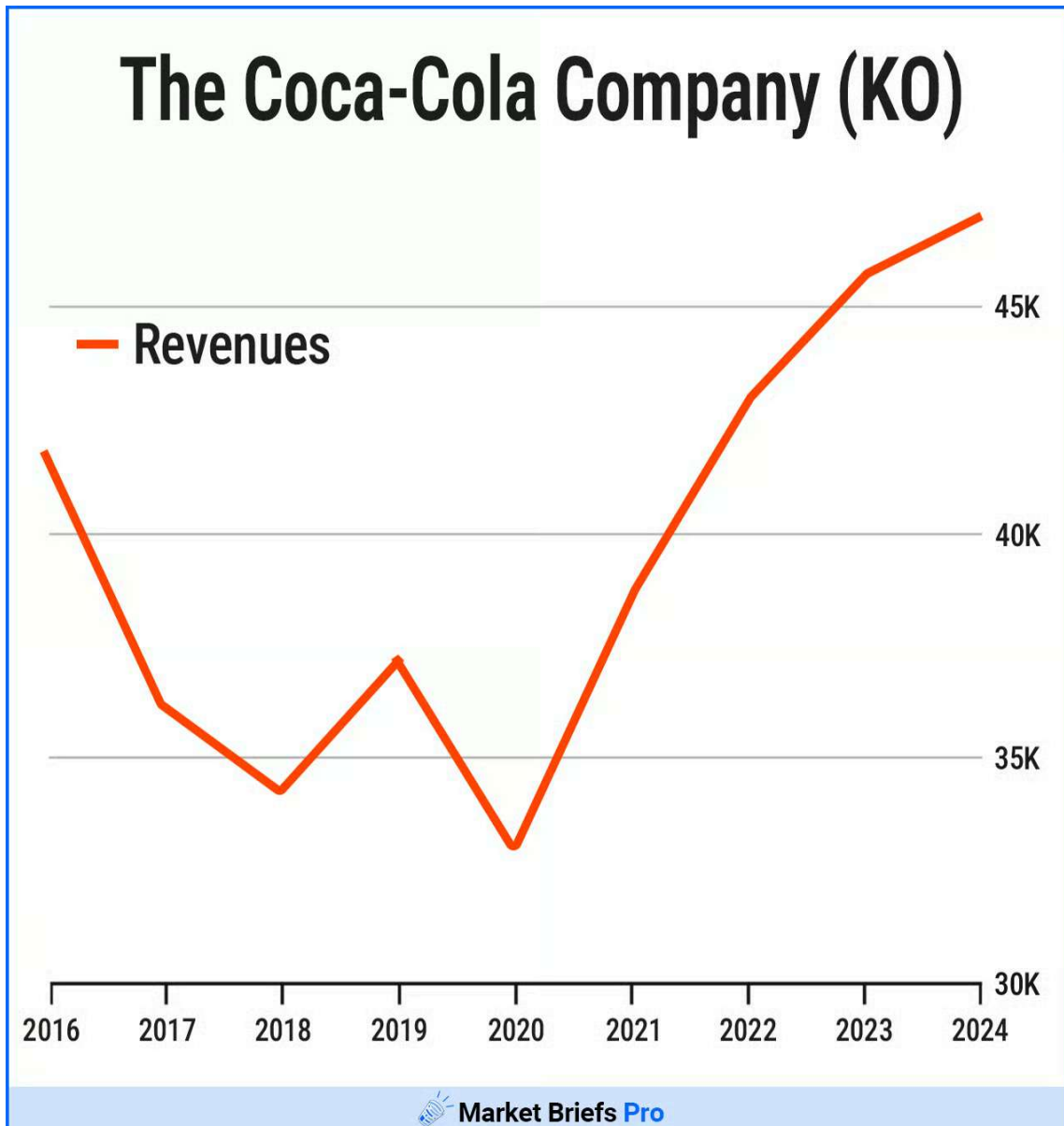
One of those Dividend Kings is Coca-Cola, which has increased its dividend every year for the last 64 years.

- Coca-Cola's dividend yield now stands at 2.98%, which puts it in the top 50% of all dividend yielding companies.

Breakdown. Coca-Cola investors earn \$2.04 annually just for owning one share of Coca-Cola.

In 2015, investors earned 33 cents in dividends per share of Coca-Cola and the company has increased its dividend by two cents a year on average for

the last 63 years.



Data [via](#) company reports

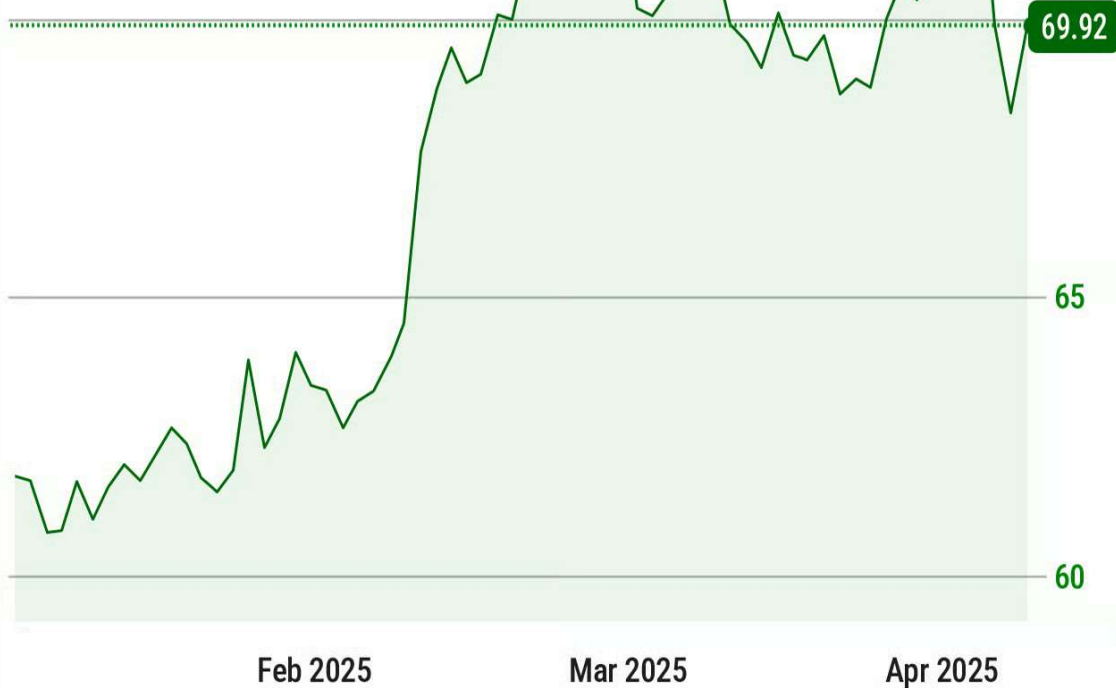
This allows investors to get paid, despite stock prices falling, because companies like Coca-Cola have accumulated lots of profit over time that they can redistribute to investors.

- Coca-Cola earned \$10 billion in net income in 2024 and invested \$3 billion back into its own business.

The Coca-Cola Company (KO)

YTD Year Price →

69.92
(+12.28%)



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Data [via](#) company reports

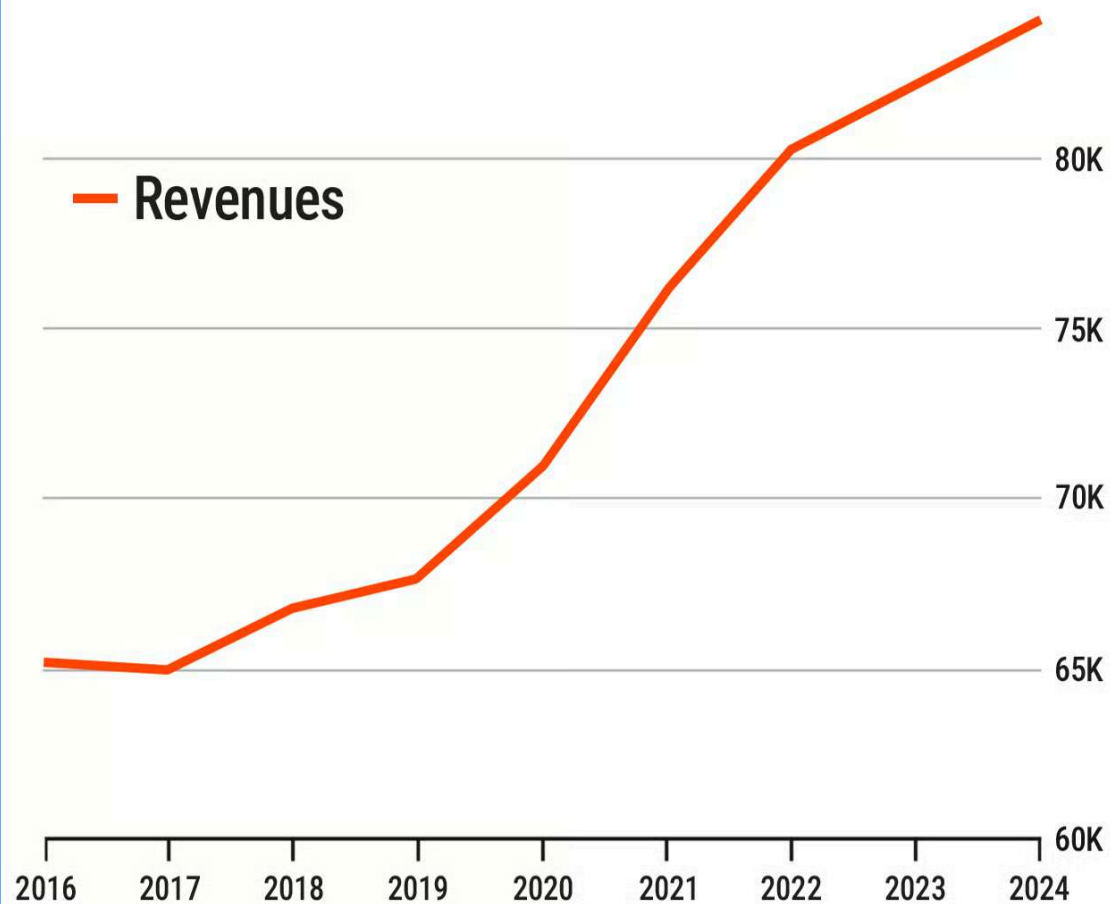
Proctor & Gamble (PG) is also a Dividend King and has increased its dividend for 69 years straight.

P&G has paid shareholders a dividend long before it was a public company as well - it was founded in 1890 and has paid dividends every year.

- The company owns brands like Charmin, Gillette, Pampers, Downy, and more.

As of Q1 2025, 1 share of P&G earns investors a dividend of \$1.06.

The Procter & Gamble Company (PG)



 Market Briefs Pro

Data [via](#) company reports

P&G also earned \$14 billion in net income in 2023, reinvesting \$4 billion back into its business that year.

Why does it matter? Dividend Kings consistently return profits to investors in the form of a dividend - not every company does this.

But investors should be aware that companies can stop paying dividends at any time.

The Procter & Gamble Company (PG)

YTD Year Price →

162.04
(-3.34%)



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Data [via](#) Yahoo Finance!

- 200 stocks during the 2020 pandemic stopped paying a dividend, including Boeing (BA) and Carnival (CCL).

47 out of 200 still aren't paying dividends, so dividends aren't guaranteed. But investors can look for steadier companies or funds that keep paying.



Data [via](#) Yahoo! Finance

There are also dividend ETFs investors can look to for broad exposure to several dividend companies at once, like the Vanguard High Dividend Yield ETF.

CONSUMER STAPLES

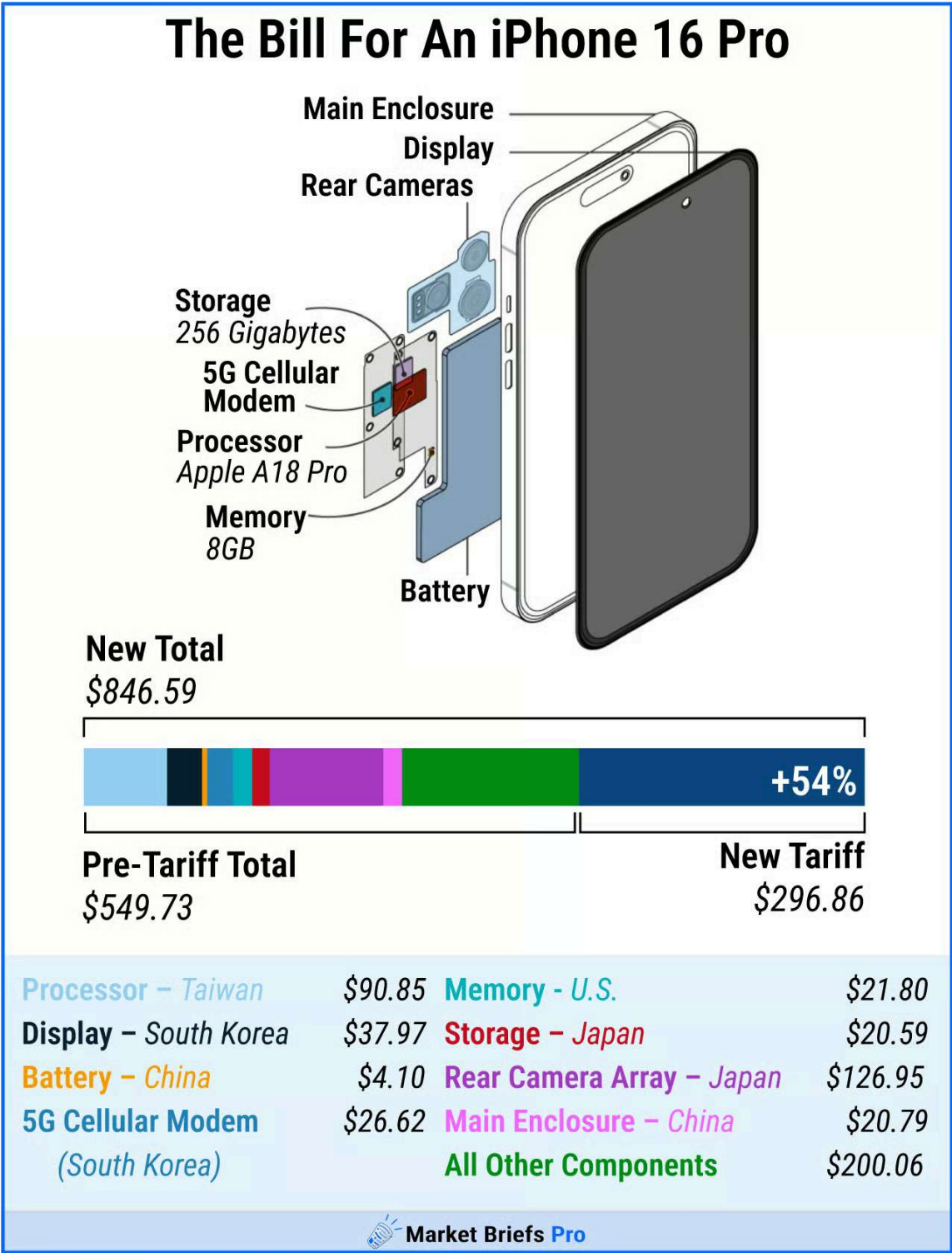
Essential Companies

The U.S. is still imposing a 145% tariff on China and 10% on all other imported goods.

And remember: The reciprocal tariffs are only paused until mid-July and no one knows what will happen in the meantime.

Experts like Jamie Dimon, the CEO of JP Morgan (JPM), and Larry Fink, the CEO of BlackRock (BLK), both believe elevated tariffs could cause a U.S. recession.

In short - a recession could mean less consumer spending and less disposable income for Americans, as many look to just buy essentials.



Data via Yale

Consumer staple brands could thrive as a result.

Breakdown. These are companies that make essentials like food, cleaning supplies, and healthcare products.

Because these goods are essential, people continue to buy them during good and bad times.

But, companies in this sector tend to benefit more during times of high tariffs, as they have a higher ability to pass on tariff costs to consumers.

Our expert source believes passing on those costs successfully is a tough thing to do for businesses:

"I don't know that I have seen [passing on costs work] personally, no. It's hard for me to say that just because the things I deal with are smaller, niche. I'm looking at materials, things that go into other things."

- In 2019, Pepsi (PEP) increased its revenue by 4.1%, despite raising its prices by 5-10%.
- Whirlpool (WHR) - which makes appliances - raised its prices by 20% in 2018, but saw its profit fall by almost 2% year over year.

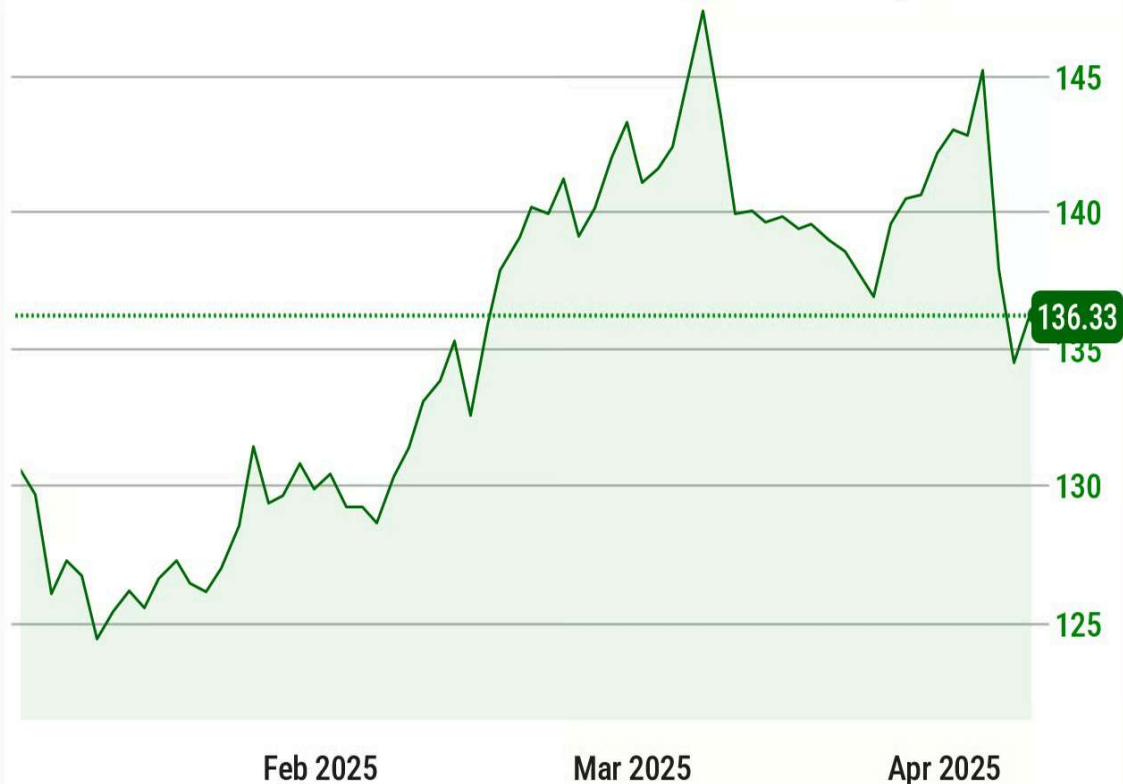
Kimberly-Clark (KMB) is a major producer of toilet paper and cleaning products in the U.S. and could benefit from this shift.

It owns brands like Cottonelle, Kleenex, Huggies and more.

Kimberly-Clark Corporation (KMB)

YTD Year Price →

136.33
(+4.04%)



 Market Briefs Pro

Data [via](#) Yahoo! Finance

During the 2020 pandemic, profits for Kimberly-Clark rose 45%, as more people purchased toilet paper.

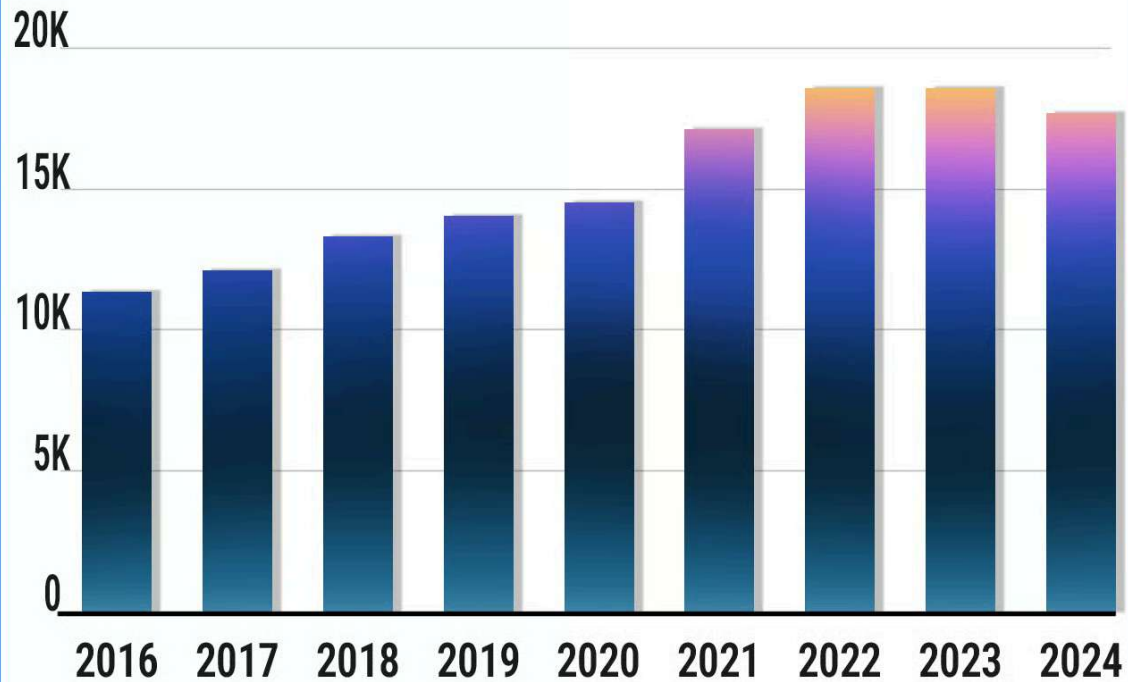
- 45% of the tissue market is also dominated by Kleenex, and Huggies is the number 1 or 2 brand of diapers in 50+ countries globally.

Kimberly-Clark is also a top industrial supplier of tissue products in the U.S., which accounted for 17% of its total revenue last year.

The point? Businesses and consumers will need Kimberly-Clark's products regardless of what our economy looks like, allowing them to benefit from this shift.

Kimberly-Clark Corporation (KMB)

(Revenues In \$Millions)



 Market Briefs Pro

Data [via](#) company reports

- The company earned just over \$20 billion in revenue in 2024, a slight decline from 2023's \$20.4 billion.

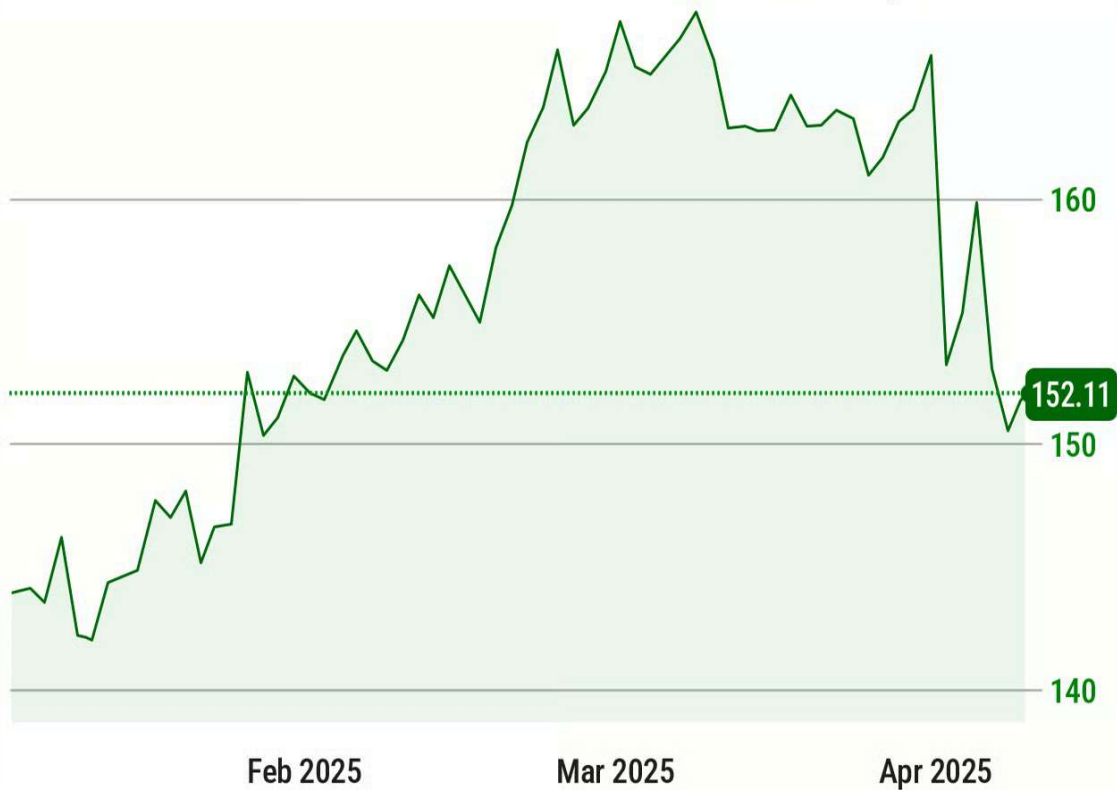
Johnson & Johnson (JNJ) is also a staple among consumers and owns brands in a variety of different sectors.

Known for brands like Band-Aids, Tylenol, and Splenda, the company creates products in the health and wellness, medtech, and pharmaceutical industries.

Johnson & Johnson (JNJ)

YTD Year Price →

152.11
(+5.14%)



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Data [via](#) Yahoo! Finance

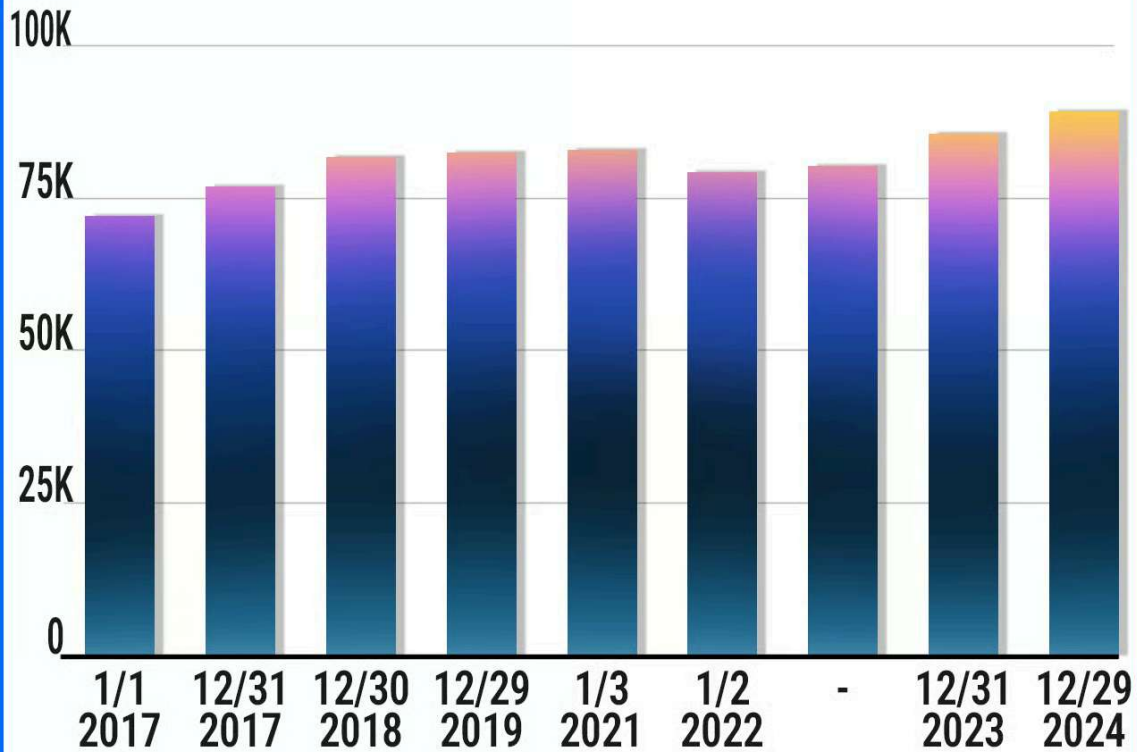
- In 2024, J&J earned over \$88 billion in revenue, an all time high.

Johnson & Johnson has been known to continue growing during economic downturns and recessions as well.

In 2021, it helped create one of the first Covid vaccines, and earned \$2.5 billion from vaccine sales.

Johnson & Johnson (JNJ)

(Revenues In \$Millions)



 Market Briefs Pro

Data [via](#) company reports

And, during the Great Recession, the company managed to increase its net income every year from 2007-2011.

How? Demand for its products typically stays stable during recessions, allowing it to keep more cash for a rainy day and grow.

Johnson & Johnson and Kimberly-Clark are poised to grow if the U.S. as the market shifts, but investors can find other broad opportunities in the Consumer Staples Select Sector SPDR Fund (XLP).

The Consumer Staples Select Sector SPDR Fund (XLP)

5 Year Price →

78.57
(+36.41%)



 Market Briefs Pro

Data [via](#) Yahoo! Finance

IMPACTS

Tariffs: What's Coming Next?

Tariffs are changing fast, so investors should think about the short- and long-term effects before they invest.

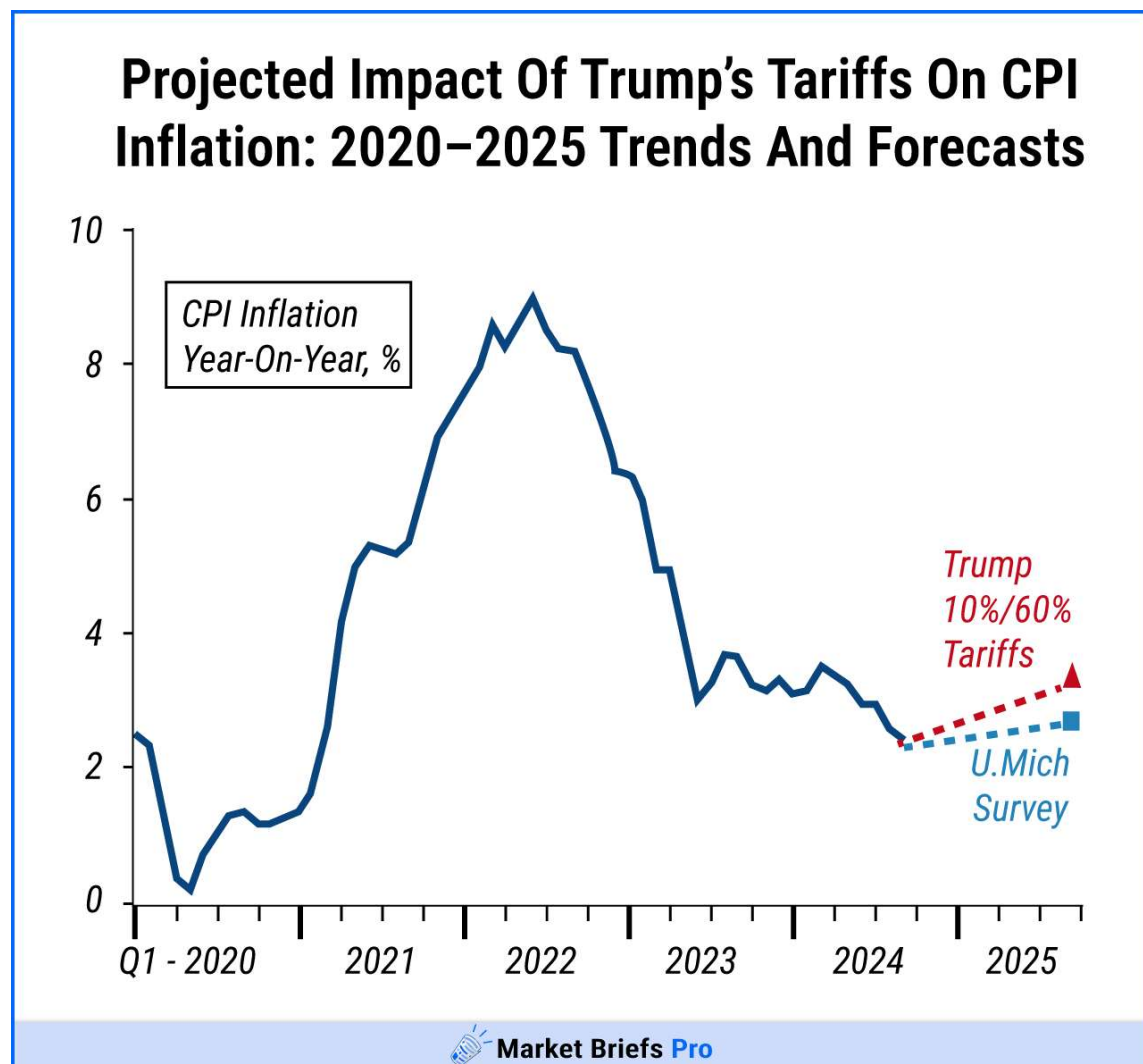
In the short-term, tariffs could lower corporate profits - leading to less hiring and lower growth.

- That could create a recession as unemployment rises and consumers have less money to spend.

Unemployment rose to 4.2% in March 2025, the highest level since November 2024.

In the long-term, The White House claims tariffs could create 2.8 million jobs in the U.S.

Many experts think tariffs could raise inflation, since businesses may pass higher costs to shoppers, making products more expensive.



Data [via Econbrowser](#)

In general, less profit, slower business growth, and job loss could lead the Fed to cut interest rates to help the economy grow.

- The Fed lowered interest rates during the Great Recession and recession of 2020.

In reality - no one knows exactly what will happen next.

But, we do know tariffs have created uncertainty in our economy and markets, which may still linger as long as tariffs are around.

And that uncertainty is driving decisions today, according to our expert source:

"I think everybody is just so on edge, they're completely reactive. There's no one prepared, not even us. We'll have a meeting today that says 'this is

supposed to happen tomorrow' then 4:00 the afternoon 'we made a mistake, we'll regroup in 90 days.'"

REVIEW

Down, But Not Out

Major indexes like the Dow, S&P 500, and Nasdaq, are all in the red so far in 2025.

But, markets have been through similar drops in the past - our expert source believes in playing the long game when it comes to these tariffs:

"I think the biggest thing is that we just need to be patient and resolute. Try to persevere. Buy what you absolutely need. Stop spur of the moment purchases."

And the good news for investors: Historically, markets have always bounced back to set new record highs at some point.

Market shifts like this one almost always create opportunities for investors, as money is not disappearing, it's just moving hands.

It's up to investors to get ready and learn how to spot chances like these, so they can act when the market shifts again.



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